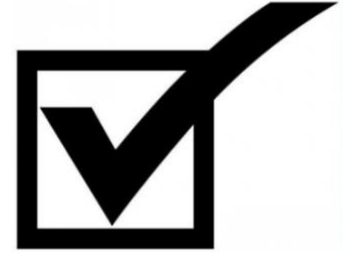




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FUNDAMENTAL ACCOUNTING (100)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (22 @ 3 points each) _____ (66 points)

Job 1 – Inventory Costing _____ (40 points)

Job 2 – Adjusting Entries _____ (37 points)

Job 3 – Effects on Income Statement _____ (48 points)

TOTAL POINTS _____ ***(251 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 60 points total

1.	D	16.	A
2.	A	17.	D
3.	C	18.	C
4.	C	19.	A
5.	D	20.	B
6.	A	21.	C
7.	C	22.	D
8.	A	23.	A
9.	A	24.	B
10.	D	25.	C
11.	D	26.	C
12.	D	27.	B
13.	D	28.	A
14.	B	29.	B
15.	C	30.	D

Short Answer Problems – 66 total points; 3 points each1. a. Notes Receivableb. Accounts Receivable – Note to Grader, count as correct A/R, or including Jacob West with accounts namec. August 6thd. 12.58e. 752.58f. Cashg. Notes Receivable, Interest Income2. a. 11,777b. 581.46c. 458.46d. Uncollectible Accounts Expense or Bad Debts Expense or something similare. Allowance for Uncollectible Accounts or Allowance for Doubtful Accounts or something similar

3. a. 673.60
b. 63.15
c. 550.39
4. a. 720,000
b. 653,775
c. 1,373,775
5. a. 189,664
b. 106,804
c. 82,860
d. 43.7%

Job 1 – Inventory Costing – 40 total points; each shaded answer worth 2 points.

FIFO

Purchase Dates	Units Purchased	Unit Price	Total Cost	FIFO Units On Hand	FIFO Cost
Jan 1 beginning inventory	15	8.40	126.00		
Feb 14 purchase	20	8.72	174.40		
May 23 purchase	20	8.74	174.80		
Aug 8 purchase	35	9.10	318.50		
Oct 12 purchase	40	9.35	374.00	22	205.70
Dec 6 purchase	25	9.50	237.50	25	237.50
Totals	155		1,405.20	47	443.20

LIFO

Purchase Dates	Units Purchased	Unit Price	Total Cost	LIFO Units On Hand	LIFO Cost
Jan 1 beginning inventory	15	8.40	126.00	15	126.00
Feb 14 purchase	20	8.72	174.40	20	174.40
May 23 purchase	20	8.74	174.80	12	104.88
Aug 8 purchase	35	9.10	318.50		
Oct 12 purchase	40	9.35	374.00		
Dec 6 purchase	25	9.50	237.50		
Totals	155		1,405.20	47	405.28

WEIGHTED AVERAGE (2 points each—including in the total above)

1,405.20 / 155 Units = **9.07** per unit

9.07 * 47 units = **\$426.29** ending inventory

Job 2 – Adjusting Entries – 37 total points; 1 point for “Adjusting Entries” heading; 1 point for each account name; 2 points for each amount

GENERAL JOURNAL

DATE	DESCRIPTION	POST REF	DEBIT	CREDIT
	Adjusting Entries			
May 31	Rent Expense		3,000.00	
	Prepaid Rent			3,000.00
31	Supplies Expense		615.00	
	Supplies			615.00
31	Merchandise Inventory		2,880.00	
	Income Summary			2,880.00
31	Insurance Expense		250.00	
	Prepaid Insurance			250.00
31	Interest Expense		16.04	
	Interest Payable			16.04
31	Unearned Rent		350.00	
	Rental Revenue (or Rent Revenue)			350.00

Job 3 – Effects on Income Statement – 48 total points; 2 points each

Transaction Number	Effect on Net Income Increase, Decrease, None	Amount of Effect
1	Decrease	2,400
2	None	0
3	Decrease	1,500
4	Decrease	6,000
5	Increase	12,000
6	Decrease	240
7	None	0
8	None	0
9	Decrease	7,800
10	Increase	15.33
11	None	0
12	Increase	1,500